

UK Student Property Market

State of the Market Overview Report (2024–2025)

1. Demand & Supply Dynamics

- 🌍 Student numbers remain at record highs, creating strong demand for PBSA.
- 🌍 Supply continues to lag nationally, intensifying availability pressures.
- 🌍 Average commute for students is 26 minutes; 59% struggle with rent.

2. Investment & Development Trends

- 🌍 Q1 2025 investment reached £750m across 18 deals.
- 🌍 Q2 2025 added £830m, totalling £1.6bn for H1 —above long-run averages.
- 🌍 Investors prefer operational stock and mid-market/value-add assets.
- 🌍 New development faces planning, safety, and cost challenges.

3. Rents, Affordability & Student Experience

- 🌍 Average UK student rent: £563/month; London: £812/month.
- 🌍 69% report housing issues (damp most common).
- 🌍 46% say accommodation lacks value for money; 7% experienced homelessness.

4. Key Challenges

- 🌍 Regulatory delays (fire safety) increase construction risk.
- 🌍 Affordability worsening as rents rise faster than student income.
- 🌍 Demand far outstrips supply, especially in Russell Group cities.

5. Outlook (2025–2027)

- 🌍 Expected rental growth: 4–6% (2024–25), 3–5% (2026–27).
- 🌍 Growing focus on refurbishments and mid-market PBSA.
- 🌍 University–private developer partnerships likely to rise.